MF PULSE

Ranking and analysis methodology

How fund and AMC conclusions are calculated, explained, confidence-capped and compared.

VERSION 2 | EVIDENCE-AWARE ANALYSIS

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The evidence contract

MF Pulse separates an observed fact from its interpretation and from the confidence permitted by the available evidence.

Layer	Meaning	Example
Observed fact	A sourced or computed number.	One-year AMFI NAV return: +12.4%.
Interpretation	A deterministic rule with a disclosed scope.	The fund led its matched peer average by 2.1 percentage points over the same period.
Confidence	How strongly the interpretation may be stated.	Developing track record; confidence capped at 70/100.
Boundary	What the evidence cannot establish.	No claim about future alpha, manager skill or suitability without supporting evidence.

A high evidence score means the conclusion is well supported by available data. It never means the future outcome is highly certain.

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Return and risk calculations

Point-to-point return

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Return = (Latest NAV / Earlier NAV - 1) x 100
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Used for observed 1-day through 1-year windows. Three-year and five-year cumulative return is displayed as annualised CAGR.

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CAGR = (1 + total return)^(1 / years) - 1
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Annualised volatility

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Volatility = standard deviation of daily returns x square root of 252
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Maximum drawdown

The deepest peak-to-trough fall inside the disclosed observation window. A less-negative drawdown is shallower and therefore preferable for downside control.

Consistency

The current daily consistency measure is the share of observed NAV moves that are non-negative. It is steadiness evidence, not proof of superior total return.

Risk-ratio discipline

Return and volatility periods should be aligned. Ratios that mix a one-year return with only 90-day volatility are labelled as limited until a matching one-year risk series is available.

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What a category rank means

Current recent category rank

Eligible Equity Growth funds are grouped by category and plan, with Direct and Regular kept separate. The cohort is sorted by one-month NAV return. Rank 1 is the highest recent return.

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Percentile = 100 x (1 - (rank - 1) / cohort size)
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This is explicitly a recent momentum position. It is not a universal long-term quality rank.

Normal rank is withheld or treated as provisional when a fund is too new, the peer cohort is too small, the scheme is IDCW, or the scheme type needs evidence that NAV return alone cannot provide.

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Different schemes require different frameworks

Scheme framework	Primary judgment evidence	Evidence currently missing when applicable
Active equity	Rolling and long-horizon peer return; benchmark excess return; drawdown; downside consistency; cost; concentration; manager process.	Broad TER, holdings and manager-history coverage; exact TRI history for all benchmarks.
Passive / index	Tracking difference and tracking error; TER; replication quality; liquidity; matched-index return.	Official matched TRI series and tracking evidence for every index.
Debt	Yield to maturity; duration; credit quality; liquidity; drawdown; cost.	Duration, YTM, credit-quality and portfolio-liquidity coverage.
Hybrid	Allocation stability; equity/debt mix; downside control; risk-adjusted return; cost and diversification.	Historical allocation path and broader portfolio evidence.
Goal-based	Goal and lock-in fit; horizon-matched return; drawdown near the goal date; cost and glide-path consistency.	Full goal-path and portfolio-allocation evidence.
NFO / emerging	Since-inception return; same-date benchmark and vintage peers; early drawdown; portfolio construction; explicit confidence cap.	Full-cycle history by definition.

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Track-record stages and confidence caps

Stage	History rule	Maximum confidence	Ranking treatment
Observation only	Under about 3 months, or no usable 3M/1Y evidence	25/100	No normal performance rank
Emerging evidence	Under 1 year, or no 1Y return	45/100	Launch-date and vintage-matched comparison
Developing track record	1-3 years, or no 3Y/5Y evidence	70/100	Structured comparison with medium ceiling
Established track record	At least 3Y evidence	100/100	Eligible for the broadest supported analysis

Evidence confidence combines performance history (30 points), risk evidence (20), peer evidence (15), benchmark mapping (10), cost (10), portfolio evidence (10) and freshness (5). The track-record stage caps the result.

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Fund-level reasoning box

Every fund page explains:

- The applicable scheme framework and track-record stage.
- The evidence confidence score and any history-based cap.
- Why the displayed return, risk and peer facts were selected.
- Evidence-backed strengths and weaknesses with exact values.
- Why the current category rank is narrow, provisional or unavailable.
- Which missing inputs prevent stronger conclusions.

New-fund treatment

An NFO should not be compared with a ten-year fund over unmatched periods. Existing peers and the benchmark must be measured from the NFO launch date to the same current date. Under one year, return remains an absolute since-inception figure rather than an aggressively annualised claim.

Bayesian-style shrinkage is recommended for a future NFO leaderboard so a few early observations do not create extreme ranks: adjusted result = w x observed result + (1 - w) x category average, with w increasing as observations accumulate.

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Health and quality scores

The current Health Score is a deterministic research indicator built from available performance, consistency, risk, recent category position, data quality, cost and factsheet evidence. Missing components are dropped and remaining weights are renormalised.

Important limitation

Renormalisation prevents missing data from becoming zero, but two equal scores can be based on different evidence sets. MF Pulse therefore displays a separate evidence-confidence score and does not treat the Health grade as a forecast or universal buy recommendation.

Recommended evolution

Keep investment merit separate from evidence quality. A future score should show Merit and Evidence side by side, avoid double-counting recent category percentile, use aligned risk/return windows, and graduate only after walk-forward backtesting.

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AMC analysis

AMC analysis begins by canonicalising plan variants. Direct and Regular versions of the same investment idea are not counted as separate funds in the AMC peer sample.

Current AMC evidence considers:

- Average canonical fund-health evidence.
- Share of eligible canonical funds beating their own category average over one year.
- Share holding a recent top-quartile category position.
- Observed average volatility.
- Share with both one-year return and volatility evidence.

Headline AMC peer rank requires at least three canonical funds with one-year evidence and at least 50% score-input completeness. Otherwise the rank is withheld or explicitly provisional.

AMC analysis does not infer governance quality, service quality, corporate creditworthiness, profitability or unsupported AUM and flow claims.

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Fund comparison rules

Dimension	Leader rule	Interpretation boundary
Return	Higher observed return over the same window	Different categories can carry very different risk.
Volatility	Lower observed annualised volatility	Window-specific, not lifetime risk.
Drawdown	Less-negative maximum drawdown	Only the observed period.
Consistency	Higher share of non-negative daily NAV moves	Not a substitute for rolling peer outperformance.
Health	Higher deterministic research score	Evidence sets may differ; not a forecast.

An overall measured lead is shown only when selected funds share category and plan context. When categories or plan types differ, metric leaders remain factual but MF Pulse withholds an overall winner.

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Validation and model governance

A transparent formula is not automatically a predictive model. Predictive claims require walk-forward validation using only the data available at each historical date.

Required validation

- Calculate every fund score at historical month-end using only then-available data.

- Measure benchmark excess return, category percentile and drawdown 6, 12 and 36 months later.

- Compare the score against simple baselines: category median, lowest TER, highest 3Y return and rolling benchmark win rate.

- Measure score turnover, top-quartile persistence and failure rates for high grades.

- Publish the test period, eligible universe, survivorship treatment and confidence intervals.

Until this validation is complete, MF Pulse describes the composite indicators as research aids, not proven predictors.

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Data safeguards and limitations

- Stale long-period returns are withheld rather than extrapolated.

- IDCW NAV-only performance is withheld because payouts distort NAV comparisons.

- Extreme return bands are treated as probable NAV discontinuities and suppressed.

- Missing TER, holdings, AUM or manager evidence is labelled, never estimated.

- Exact benchmark analytics are limited to supported matched index histories and disclose any price-index-versus-TRI proxy.

- Debt-fund ranking remains incomplete without duration, yield, credit quality and liquidity evidence.

- Past performance and high evidence confidence do not guarantee future results.

Methodology status

Version 2 establishes fund-type frameworks, track-record confidence caps, fund-specific reasoning, fair-comparison gating and canonical AMC analysis. Future versions should add aligned long-window risk series, official TRI histories, debt analytics, broader factsheet coverage and walk-forward score validation.